

Kinetic Lab Annual Report 2025 (excerpt)

Annual report to investors

Kinetic Lab Inc.

April 2026

Excerpt - letter, overview, performance, operations, risks and outlook

Fictional data created for the MarketSignal demo.

Letter from the founder

Dear shareholders,

Fiscal 2025 was the year in which Kinetic Lab stopped being a promising experiment and became a real company. We grew faster than we planned, shipped more pairs than ever before, and learned what it takes to deliver a made to order product at scale without losing the care that earned our first customers.

When we started, our idea was simple. Feet are not average, so shoes should not be built for an average. Each year, that idea feels less like a bet and more like a direction for the whole industry. Runners and everyday walkers alike told us that the hardest part of buying shoes online was not price or style but uncertainty about fit. We built a business around removing that uncertainty.

I want to thank our micro factory teams in particular. They cut, bonded and finished every pair by hand and by machine under a schedule that changed week to week as demand surged. I also want to thank the customers who gave us feedback when a pair was not right. Their notes shaped our fit guarantee and our scan quality checks in 2025.

We also had setbacks. Our margins are not where we want them, our lead times sometimes stretched in peak weeks, and we invested ahead of revenue in capacity. I address each of these in the pages that follow, and I intend to report on them as openly next year. Thank you for your trust.

Tessa R., Founder and Chief Executive Officer

Business overview

Kinetic Lab designs and sells made to order athletic footwear directly to consumers. Customers capture a three dimensional foot scan with a phone, choose a base model, colorway and midsole firmness, and receive a pair built around their measurements. We sell exclusively through our own website and app, which gives us a direct relationship with every customer and complete control of the fitting process.

Our product range is deliberately narrow. The core is a custom runner, supported by an everyday trainer and a lifestyle sneaker that share the same scan driven fit system. A narrow range lets our engineers concentrate on last design and our micro factory focus on repeatable processes. We believe that depth in fit is more valuable to customers than breadth of styles.

We operate one micro factory and a scan processing team that is organised into three parts: fit data science, quality review and customer fitting support. Our direct model means no wholesale accounts, no channel conflict and no discounting to clear stock that was built for a forecast rather than for a person.

Fiscal 2025 performance

Kinetic Lab reported net revenue of \$148 million for fiscal 2025, an increase of 64% on the prior year. Growth was driven by a rising number of new customers, a larger repeat base and a modest increase in average order value as more buyers selected premium midsole options.

In fiscal 2024 the company booked net revenue of \$90 million from roughly 410,000 pairs. The step up in volume between the two years required us to double the size of our production floor and to retrain nearly every technician on updated bonding equipment.

Kinetic Lab gross margin was 38% in fiscal 2025, which management attributes to scan processing and small batch production costs. Both items are structural in the short term. Every scan is reviewed for quality before it reaches the factory, and every pair is made individually, which adds labour compared with a conventional line. We expect margin to improve as software automates more scan review, as batch sizes for popular bases grow and as our supplier contracts mature.

Operating expenses rose as we invested in the scan team, a new fit data platform and marketing designed to introduce the brand to runners who had never considered made to order shoes. Marketing efficiency improved during the second half as referrals and returning customers contributed a larger share of orders. We ended the year with a stronger balance sheet following a funding round in the third quarter, and we remain focused on a path to sustained profitability.

Key metrics

Metric | Fiscal 2024 | Fiscal 2025

Net revenue | \$90M | \$148M

Year on year growth | n/a | 64%

Gross margin | n/a | 38%

Pairs shipped | About 410,000 | About 655,000

Repeat customer share | n/a | 31%

Reported return rate on customized midsoles | n/a | 6%

Customer metrics

We track customer behaviour through the fitting journey, from first scan to second pair. Our customers tend to be committed runners and active everyday walkers who are frustrated by shoes that fit one foot better than the other. Many arrive through referrals from friends who have already received a pair.

Customers who order a second pair within twelve months make up 31% of the Kinetic Lab customer base. We regard repeat ordering as the most honest signal of satisfaction because it requires a customer to wait for a second build and pay a full price again. The share has risen steadily since our

first full year of trading, and customers who order twice are the most likely to refer a friend.

Kinetic Lab states that its customized midsoles carry a return rate of 6%, against what it describes as a category norm near 20%. We take that figure seriously and define it in a conservative way: it counts pairs that a customer sends back for a refund within the guarantee window. Remakes performed under our fit guarantee are recorded as a separate line and are not included in the figure.

Customer satisfaction scores are strongest on fit and weakest on delivery time. Our support team receives more questions about where an order is in the build process than about any other topic, which is why we added a stage by stage tracker to the app in the second quarter. Early feedback on the tracker has been positive, and we plan further improvements in 2026.

Operations

Scan pipeline

Every order begins with a phone scan. Our computer vision pipeline extracts length, width, arch height and instep volume, compares the result with a reference library, and flags any scan that appears inconsistent. Flagged scans go to a human reviewer, who may ask the customer to redo the capture. About one in twelve scans needs a second attempt, and we are working to reduce that through improved on screen guidance.

Micro factory

Our micro factory combines automated cutting and bonding with hand finishing. Each pair travels in its own tray with a digital work order so that technicians can see the scan data, last shape and customer notes at every station. The facility runs two shifts and expanded by roughly half during the year. We chose a single location to keep quality control tight and to learn quickly from each change.

Lead times

Customers can expect delivery in 14 to 21 days from the moment a scan is approved. The build itself takes a minority of that time. Most of the remainder is queueing during peak weeks, final quality checks and parcel transit. In busy periods we staged work so that popular bases were cut in advance and customised only at the last step, which helped keep promised dates intact.

We recognise that two to three weeks is long compared with a store visit or a standard online order. We accept that tradeoff today because it allows us to build each pair on demand without carrying finished inventory. Over time we intend to shorten the window through additional capacity and better scheduling rather than by compromising on fit.

Quality and fit guarantee

Every pair passes a final inspection comparing key measurements against the scan file. Customers have 30 days to request a rescan fitting. Where a pair cannot be corrected, we rebuild it. The cost of remakes is included in our gross margin, and we monitor remake causes weekly so that issues in upper cutting or insole contouring can be fixed at the source.

Risks

Investors should consider the following principal risks. First, demand for made to order footwear depends on customers accepting a wait that is longer than conventional retail. If competitors introduce faster personalised options, our advantage could narrow. Second, our concentration in a single micro factory means that an outage or equipment failure would interrupt shipments across the whole business.

Third, our unit economics depend on automating scan review and increasing batch efficiency. If those gains arrive more slowly than expected, gross margin could stay below our target for longer. Fourth, return and remake rates may rise if scan quality varies across phone models. Fifth, a small number of component suppliers provide custom midsole foam, and disruption in that supply chain could delay builds.

Finally, we compete with large established brands that have wide distribution and much larger marketing budgets. We aim to compete on fit and on the quality of the customer relationship rather than on price or reach.

Outlook

For fiscal 2026, management expects continued strong growth, although at a more moderate pace than the year just ended as the base becomes larger. Our priorities are to shorten delivery times, improve gross margin through automation and larger batch sizes, expand our range of base models, and broaden awareness among runners who have not yet tried a made to order shoe.

We plan to open a second production line within the existing micro factory and to evaluate a second site later in the year. We also intend to invest in scan accuracy across a wider range of phones, and in a fit data platform that allows us to improve every pair we make. We will report on these initiatives in our next annual update.